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**Canada Bread Reports Results for Fourth Quarter and Fiscal Year 2010**

Toronto, Ontario – February 24, 2011… Canada Bread Company, Limited (TSX: CBY) today reported its financial results for the fourth quarter and year ended December 31, 2010. Fourth quarter and full year highlights include:

- Fourth quarter Adjusted Operating Earnings were $27.3 million compared to $29.1 million last year.
- Fourth quarter Adjusted EPS of $0.61 compared to $0.70 in the prior year
- Full year Adjusted Operating Earnings were $110.5 million compared to $120.5 million last year
- Fourth quarter net earnings were $13.6 million down from $15.0 million and $61.0 million compared to $77.5 million for the full year

*Note: Adjusted Operating Earnings are defined as earnings from operations before restructuring and other related costs and other income (expense). Adjusted Earnings per Share ("Adjusted EPS") are defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax. Please refer to the section entitled Reconciliation of Non-GAAP Financial Measures at the end of this news release.*

"While we had a modest decline in operating earnings in the quarter, a number of initiatives are underway to reduce costs and strengthen volumes," said Richard Lan, President and CEO. "We are consolidating manufacturing facilities, reducing overhead costs and increasing our marketing and sales activities, all with good results. We will also manage significant commodity inflation through price increases."

## Financial Overview

Sales for the fourth quarter declined 9% to $393.1 million from $432.2 million in the prior year mostly as a result of an additional week in the fourth quarter last year. Excluding the impact of the extra week in 2009 and unfavourable currency translation of the Company's sales in the U.K. and U.S., sales were largely consistent with the prior year. For the full year, sales were $1,588.4 million, compared to $1,705.8 million in 2009.

Adjusted Operating Earnings in the fourth quarter were $27.3 million compared to $29.1 million last year and $110.5 million compared to $120.5 million for the full

year. The fourth quarter decline was largely due to lower volumes in the Company's frozen bakery operations.

During the quarter the business benefited from lower commodity costs and a strong Canadian dollar, which reduced the cost of flour and other ingredients priced in US dollars. However, there was a significant rise in wheat prices late in the quarter that has continued into 2011. A loss of $5.9 million on interest rate swaps and reduced Adjusted Operating Earnings, partly offset by lower income taxes, contributed to a moderate decrease in net earnings from $15.0 million ($0.59 per share) last year to $13.6 million ($0.54 per share) in the fourth quarter of 2010. Net earnings for the full year were $61.0 million ($2.40 per share) compared to $77.5 million ($3.05 per share) in 2009.

## Business Segment Review

The following table summarizes sales by business segment:

| ($ thousands) | Fourth Quarter | | Full Year | |
|---|---|---|---|---|
| | **2010** | 2009 | **2010** | 2009 |
| Fresh Bakery | **$261,876** | $279,244 | **$1,086,827** | $1,119,790 |
| Frozen Bakery | **131,203** | 152,946 | **501,610** | 585,998 |
| **Sales** | **$393,079** | $432,190 | **$1,588,437** | $1,705,788 |

The following table summarizes Adjusted Operating Earnings by business segment:

| ($ thousands) | Fourth Quarter | | Full Year | |
|---|---|---|---|---|
| | **2010** | 2009 | **2010** | 2009 |
| Fresh Bakery | **$20,623** | $20,079 | **$99,226** | $91,535 |
| Frozen Bakery | **6,714** | 9,053 | **11,251** | 29,002 |
| **Adjusted Operating Earnings** | **$27,337** | $29,132 | **$110,477** | $120,537 |

## Fresh Bakery

*Includes fresh bakery products, including breads, rolls, bagels, sweet goods, prepared sandwiches, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.*

Fourth quarter sales decreased 6% to $261.9 million from $279.2 million last year. Excluding the impact of the extra week in 2009, sales increased by 1% due primarily to a moderate increase in volume.

Adjusted Operating Earnings in the quarter increased slightly to $20.6 million from $20.1 million, due to lower commodity costs and the favourable impact of a stronger Canadian dollar on wheat and ingredient purchases. A significant rise in wheat prices that began in the fourth quarter has continued in 2011, and as a result the business expects to implement price increases in the first quarter. Adjusted Operating Earnings for the full year increased to $99.2 million from $91.5 million last year.

Construction of the Company's bakery facility in Hamilton, Ontario commenced in August 2010. The project is on target to begin initial production of bakery products in July 2011.

On February 18, 2011, the Company completed the sale of its fresh sandwich business for $8.0 million, subject to post closing adjustments.

## Frozen Bakery

*Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co®.*

Fourth quarter sales declined by 14% to $131.2 million from $152.9 million last year. Excluding the impact of the extra week in 2009, sales decreased by 7% due to lower volumes, predominantly in U.K. bakery operations, and the impact of unfavourable currency translation of the Company's sales in the U.K. and U.S. due to a stronger Canadian dollar.

Adjusted Operating Earnings in the quarter were $6.7 million compared to $9.1 million last year. Performance in the North American frozen bakery operations was lower than 2009, although volume began to strengthen towards the end of the fourth quarter. A number of initiatives are underway to improve performance. Price increases are being implemented in the first quarter in response to the significant rise in wheat prices. In early 2011, the Company announced it will close a high cost bakery in Laval, Quebec and transfer production to its other bakeries where there is available capacity. Results in the U.K. bakery operations were consistent with last year. Management is proceeding with initiatives to reduce costs and consolidate volumes into fewer bakeries and in the first quarter of 2011 announced plans to close a bakery facility in Cumbria, U.K. Also, in the first quarter of 2011, a significant promotion of the Company's bagel brand in the U.K. was launched to support market growth in the bagel category, which has lead to increased demand and stronger volumes.

For the full year, Adjusted Operating Earnings were $11.3 million compared to $29.0 million last year.

## Other Matters

On February 23, 2011 Canada Bread Company, Limited declared a dividend of $0.06 per share payable on April 1, 2011 to shareholders of record at the close of business on March 10, 2011. Unless indicated otherwise by the Company in writing at or before the time the dividend is paid, this dividend will be considered an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

## Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, expectations, anticipations, estimates and intentions. Words such as "expect," "anticipate," "intend," "attempt," "may," "will," "plan," "believe," "seek," "estimate," and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these forward-looking statements are based on expectations concerning performance of the Company's business in general, and are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, United States and United Kingdom economies; the rate of exchange of the Canadian dollar to the U.S. dollar and the British pound; initiatives to restore sales volumes and reduce costs in the North American and U.K. frozen bakery businesses; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified under the "Risk Factors" in the Company's Annual Management's Discussion and Analysis for the year ended December 31, 2010 will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements are discussed more fully under the heading "Risk Factors" in the Company's Annual Management's Discussion and Analysis for the year ended December 31, 2010 including the

section entitled “Risk Factors” that will be available on SEDAR at www.sedar.com. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Canada Bread Company, Limited, which is 90.0% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2010 sales of $1.6 billion and employs approximately 7,500 people at its operations across North America and in the United Kingdom.

## Reconciliation of Non-GAAP Financial Measures

The Company uses the following non-GAAP measures: Adjusted Operating Earnings and Adjusted EPS. Management believes that these non-GAAP measures provide useful information to both management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by Canadian GAAP and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with Canadian GAAP.

### *Adjusted Operating Earnings*

The following table reconciles earnings from operations before restructuring and other related costs and other income (expense) to net earnings as reported under Canadian GAAP in the unaudited interim period consolidated statements of earnings for the three-month periods and the audited full-year periods ended as indicated below. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs and other income (expense) are not representative of operational results.

| ($ thousands) | **Three months ended December 31, 2010** | | | |
|---|---|---|---|---|
| | **Fresh Bakery** | **Frozen Bakery** | **Unallocated costs** | **Consolidated** |
| Net earnings | | | | **$13,582** |
| Income taxes | | | | **4,745** |
| **Earnings from operations before income taxes** | | | | **18,327** |
| Interest expense | | | | **471** |
| **Earnings from operations before income taxes and interest expense** | **19,345** | **5,328** | **(5,876)** | **18,798** |
| Restructuring and other related costs | 1,141 | 1,386 | - | **2,527** |
| Other expense | 137 | - | 5,876 | **6,012** |
| **Adjusted Operating Earnings** | **$20,623** | **$6,714** | **$ -** | **$27,337** |

| ($ thousands) | Three months ended December 31, 2009 | | | |
|---|---|---|---|---|
| | **Fresh Bakery** | **Frozen Bakery** | **Unallocated costs** | **Consolidated** |
| Net earnings | | | | **$15,009** |
| Income taxes | | | | **9,392** |
| **Earnings from operations before income taxes** | | | | **24,400** |
| Interest expense | | | | **1,104** |
| **Earnings from operations before income taxes and interest expense** | **16,635** | **8,870** | **-** | **25,504** |
| Restructuring and other related costs | 3,454 | 183 | - | **3,637** |
| Other income | (10) | - | | **(10)** |
| **Adjusted Operating Earnings** | **$20,079** | **$9,053** | **$ -** | **$29,132** |

| ($ thousands) | Year ended December 31, 2010 | | | |
|---|---|---|---|---|
| | **Fresh Bakery** | **Frozen Bakery** | **Unallocated costs** | **Consolidated** |
| Net earnings | | | | **$60,975** |
| Income taxes | | | | **24,827** |
| **Earnings from operations before income taxes** | | | | **85,802** |
| Interest expense | | | | **3,308** |
| **Earnings from operations before income taxes and interest expense** | **86,685** | **8,301** | **(5,876)** | **89,110** |
| Restructuring and other related costs | 12,598 | 2,950 | - | **15,548** |
| Other expense (income) | (57) | - | 5,876 | **5,819** |
| **Adjusted Operating Earnings** | **$99,226** | **$11,251** | **$ -** | **$110,477** |

| ($ thousands) | Year ended December 31, 2009 | | | |
|---|---|---|---|---|
| | **Fresh Bakery** | **Frozen Bakery** | **Unallocated costs** | **Consolidated** |
| Net earnings | | | | **$77,478** |
| Income taxes | | | | **35,506** |
| **Earnings from operations before income taxes** | | | | **112,984** |
| Interest expense | | | | **5,084** |
| **Earnings from operations before income taxes and interest expense** | **88,053** | **30,015** | **-** | **118,068** |
| Restructuring and other related costs | 3,373 | 1,535 | - | **4,908** |
| Other expense (income) | 109 | (2,548) | - | **(2,439)** |
| **Adjusted Operating Earnings** | **$91,535** | **$29,002** | **$ -** | **$120,537** |

*Adjusted Earnings per Share*

The following table reconciles Adjusted Earnings per Share to basic earnings per share as reported under Canadian GAAP in the consolidated statements of earnings for the unaudited three-month interim periods and the audited full-year periods ended as indicated below. Management believes this is the most appropriate basis on which to evaluate financial results as restructuring and other related costs are not representative of operational results.

| ($ per share) | Three months ended December 31, | | Year ended December 31, | |
|---|---|---|---|---|
| | 2010 | 2009 | 2010 | 2009 |
| Basic Earnings per Share | $ 0.54 | $ 0.59 | $ 2.40 | $ 3.05 |
| Restructuring and other related costs[(i)] | 0.08 | 0.11 | 0.46 | 0.15 |
| **Adjusted Earnings per Share [(ii)]** | **$ 0.61** | **$ 0.70** | **$ 2.85** | **$ 3.20** |

(i) *Includes per share impact of restructuring and other related costs, net of tax.*
(ii) *May not add due to rounding.*

Consolidated Financial Statements
(Expressed in Canadian dollars)

# CANADA BREAD COMPANY, LIMITED

Three and twelve months ended December 31, 2010 and 2009

# CANADA BREAD COMPANY, LIMITED

Consolidated Balance Sheets
*(In thousands of Canadian dollars)*

| | As at December 31, | |
|---|---|---|
| | **2010** | 2009 |
| **ASSETS** | | |
| **Current Assets:** | | |
| Cash and cash equivalents | **$ 84,401** | $ 57,698 |
| Accounts receivable | **29,773** | 63,620 |
| Note receivable | **59,159** | - |
| Inventories | **55,477** | 56,659 |
| Future tax asset | **4,015** | 1,640 |
| Prepaid expenses and other assets | **4,516** | 4,438 |
| | **$ 237,341** | $ 184,055 |
| Property and equipment | **391,690** | 387,252 |
| Goodwill | **375,894** | 386,807 |
| Other long-term assets | **13,588** | 11,620 |
| Other intangible assets | **13,626** | 16,678 |
| | **$ 1,032,139** | $ 986,412 |
| **LIABILITIES AND SHAREHOLDERS' EQUITY** | | |
| **Current Liabilities:** | | |
| Bank indebtedness | **$ 7,777** | $ 4,247 |
| Accounts payable and accrued charges | **185,216** | 172,172 |
| Due to Maple Leaf Foods Inc. | **5,336** | 3,817 |
| Dividends payable | **1,525** | 1,525 |
| Income and other taxes payable | **3,248** | 13,155 |
| Current portion of long-term debt (Note 9) | **2,332** | - |
| | **$ 205,434** | $ 194,916 |
| Long-term debt | **1,629** | 2,547 |
| Future tax liability | **30,797** | 33,338 |
| Other long-term liabilities | **8,433** | 8,524 |
| Shareholders' equity | **785,846** | 747,087 |
| | **$ 1,032,139** | $ 986,412 |

# CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Earnings
*(In thousands of Canadian dollars, except share amounts)*

| | Three months ended December 31, | | Twelve months ended December 31, | |
|---|---|---|---|---|
| | **2010** | 2009 | **2010** | 2009 |
| | ***(Unaudited)*** | *(Unaudited)* | | |
| Sales | **$ 393,079** | $ 432,190 | **$ 1,588,437** | $ 1,705,788 |
| Cost of goods sold | **306,574** | 342,213 | **1,254,901** | 1,365,470 |
| Gross margin | **$ 86,505** | $ 89,977 | **$ 333,536** | $ 340,318 |
| Selling, general and administrative expenses | **59,168** | 60,846 | **223,059** | 219,781 |
| Earnings from operations before the following: | **$ 27,337** | $ 29,131 | **$ 110,477** | $ 120,537 |
| Restructuring and other related costs | **(2,527)** | (3,637) | **(15,548)** | (4,908 |
| Other income | **(6,013)** | 10 | **(5,819)** | 2,439 |
| Earnings before interest and income taxes | **$ 18,797** | $ 25,504 | **$ 89,110** | $ 118,068 |
| Interest expense | **471** | 1,104 | **3,308** | 5,084 |
| Earnings before income taxes | **$ 18,326** | $ 24,400 | **$ 85,802** | $ 112,984 |
| Income taxes | **4,745** | 9,391 | **24,827** | 35,506 |
| Net earnings | **$ 13,581** | $ 15,009 | **$ 60,975** | $ 77,478 |
| Earnings per share – basic and diluted | **$ 0.54** | $ 0.59 | **$ 2.40** | $ 3.05 |
| Weighted average number of shares (millions) | **25.4** | 25.4 | **25.4** | 25.4 |

# CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Comprehensive Income
*(In thousands of Canadian dollars)*

| | Three months ended December 31, | | Twelve months ended December 31, | |
|---|---|---|---|---|
| | **2010** | 2009 | **2010** | 2009 |
| | ***(Unaudited)*** | *(Unaudited)* | | |
| Net earnings | **$ 13,581** | $ 15,009 | **$ 60,975** | $ 77,478 |
| Other comprehensive income (loss) | | | | |
| Change in accumulated foreign currency translation adjustment | **(8,748)** | (10,684) | **(21,704)** | (34,398) |
| Change in unrealized derivative loss on cash flow hedges | 3,932 | 650 | **5,588** | 1,754 |
| | **$ (4,816)** | $ (10,034) | **$ (16,116)** | $ (32,644) |
| Comprehensive income | **$ 8,765** | $ 4,975 | **$ 44,859** | $ 44,834 |

Consolidated Statements of Retained Earnings
*(In thousands of Canadian dollars)*

| | **Years ended December 31,** | |
|---|---|---|
| | **2010** | 2009 |
| Retained earnings, beginning of year | **$ 658,541** | $ 587,163 |
| Net earnings | **60,975** | 77,478 |
| Dividends declared ($0.24 per share; 2009: $0.24 per share) | **(6,100)** | (6,100) |
| Retained earnings, end of year | **$ 713,416** | $ 658,541 |

# CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Cash Flows
*(In thousands of Canadian dollars)*

| | Three months ended December 31, | | Twelve months ended December 31, | |
|---|---|---|---|---|
| | **2010** | 2009 | **2010** | 2009 |
| | ***(Unaudited)*** | *(Unaudited)* | | |
| CASH PROVIDED BY (USED IN): | | | | |
| **Operating activities** | | | | |
| Net earnings | **$ 13,581** | $ 15,009 | **$ 60,975** | $ 77,478 |
| Add (deduct) items not affecting cash: | | | | |
| Depreciation and amortization | **11,999** | 12,319 | **50,159** | 53,992 |
| Future income taxes | **(471)** | 2,166 | **(6,894)** | 67 |
| Loss (gain) on sale of property and equipment | **235** | 10 | **126** | 471 |
| Change in provision for restructuring and other related costs | **1,468** | 2,811 | **11,561** | 2,204 |
| Amortization of terminated interest rate swaps | **113** | 658 | **2,089** | 1,975 |
| Loss on interest rate swaps | **5,876** | - | **5,876** | **-** |
| Other | **212** | (266) | **42** | (2,826) |
| Change in non-cash operating working capital | **(39,117)** | 10,495 | **(33,449)** | (24,315) |
| Cash provided by operating activities | **$ (6,104)** | 43,202 | **$ 90,485** | $ 109,046 |
| **Financing activities** | | | | |
| Dividends paid | **$ (1,525)** | $ (1,525) | **$ (6,100)** | $ (6,100) |
| Changes in long-term debt | **1,430** | 2,547 | **2,000** | (1,971) |
| Settlement of interest rate swaps With Maple Leaf Foods Inc. | - | - | **-** | (8,502) |
| Cash provided by (used in) financing activities | **$ (95)** | 1,022 | **$ (4,100)** | $ **(**16,573) |
| **Investing activities** | | | | |
| Additions to property and equipment | **$ (18,707)** | $ (11,212) | **$ (66,595)** | $ (41,659) |
| Proceeds from sale of property and equipment | **2,374** | 32 | **3,114** | 547 |
| Change in intangible assets | **249** | 501 | **254** | 502 |
| Other | **16** | (286) | **15** | (1,239) |
| Cash used in investing activities | **$ (16,068)** | $ (10,965) | **$ (63,212)** | $ (41,849) |
| **Increase (decrease) in cash and cash equivalents** | **$ (22,267)** | $ 33,259 | **$ 23,173** | $ 50,624 |
| Net cash and cash equivalents, beginning of period | **98,891** | 20,192 | **53,451** | 2,827 |
| Net cash and cash equivalents, end of period | **$ 76,624** | $ 53,451 | **$ 76,624** | $ 53,451 |
| **Net cash and cash equivalents is comprised of:** | | | | |
| Cash and cash equivalents | **$ 84,401** | $ 57,698 | **$ 84,401** | $ 57,698 |
| Bank Indebtedness | (7,777) | (4,247) | **(7,777)** | (4,247) |
| Net cash and cash equivalents, end of period | **$ 76,624** | $ 53,451 | **$ 76,624** | $ 53,451 |

# CANADA BREAD COMPANY, LIMITED

Segmented Financial Info
*(In thousands of Canadian dollars)*

| | Three months ended December 31, | | Twelve months ended December 31, | |
|---|---|---|---|---|
| | **2010** | 2009 | **2010** | 2009 |
| | ***(Unaudited)*** | *(Unaudited)* | | |
| **Sales** | | | | |
| Fresh Bakery | **$ 261,876** | $ 279,244 | **$ 1,086,827** | $ 1,119,790 |
| Frozen Bakery | **131,203** | 152,946 | **501,610** | 585,998 |
| | **$ 393,079** | $ 432,190 | **$ 1,588,437** | $ 1,705,788 |
| **Earnings from operations before restructuring and other related costs and other income** | | | | |
| Fresh Bakery | **$ 20,623** | $ 20,078 | **$ 99,226** | $ 91,535 |
| Frozen Bakery | **6,714** | 9,053 | **11,251** | 29,002 |
| | **$ 27,337** | $ 29,131 | **$ 110,477** | $ 120,537 |
| **Capital expenditures** | | | | |
| Fresh Bakery | **$ 14,571** | $ 6,045 | **$ 47,880** | $ 21,722 |
| Frozen Bakery | **4,136** | 5,167 | **18,715** | 19,937 |
| | **$ 18,707** | $ 11,212 | **$ 66,595** | $ 41,659 |
| **Depreciation and amortization** | | | | |
| Fresh Bakery | **$ 6,292** | $ 6,816 | **$ 26,866** | $ 27,632 |
| Frozen Bakery | **5,707** | 5,503 | **23,293** | 26,360 |
| | **$ 11,999** | $ 12,319 | **$ 50,159** | $ 53,992 |

| | **As at December 31, 2010** | As at December 31, 2009 |
|---|---|---|
| **Total assets** | | |
| Fresh Bakery | **$ 470,339** | $ 441,020 |
| Frozen Bakery | **451,810** | 476,681 |
| Non-allocated assets | **109,990** | 68,711 |
| | **$ 1,032,139** | $ 986,412 |
| **Goodwill** | | |
| Fresh Bakery | **$ 157,194** | $ 155,946 |
| Frozen Bakery | **218,700** | 230,861 |
| | **$ 375,894** | $ 386,807 |